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backward economies. Obsolute and outdated technologies of the developed countries can be easily sold to poor under developed countries. Ultimately, the rich countries can grow further at the cost of developing economies.

9.4 Arguments against LPG

a. Liberalization measures, when effectively enforced, favour an unrestricted entry of foreign companies in the domestic economy. Such an entry prevents the growth of the local manufacturers.

b. Privatization measures favour the continuance of the monopoly power. Only the powerful people can sustain in business markets. Social justice cannot be easily established and maintained. As a result, the disparities tend to widen among people and among regions.

c. As globalization measures tend to integrate all economies of the world and bringing them all under one umbrella; they pave the way for redistribution of economic power at the world level. Only the already well-developed countries are favoured in this process and the welfare of the less-developed countries will be neglected. The economic crisis of the developed countries are easily spread to the developing economies through trade.

The following are the major changes after 1991:

1. Foreign exchange reserves started rising.
2. There was a rapid industrialization.
3. The pattern of consumption started improving (or deteriorating).
4. Infrastructure facilities such as express highways, metro rails, flyovers and airports started expanding (but the local people were thrown away).

The benefits of this growth in some sectors have not reached the marginalized sections of the community. Moreover, the process of development has generated serious social, economic, political, demographic and ecological issues and challenges. Development brings benefits, but which section gets this benefit depends on socio-economic structure of the society.

Despite all these initiatives in the Indian economy, a large section of the people of India continue to face basic economic problems such as poverty, unemployment, discrimination, social exclusion, deprivation, poor healthcare, rising inflation, agricultural stagnation, food insecurity and labour migration. However, for these problems, Government policies alone cannot be blamed. As new institutional economists suggest, the values, believes, norms etc. of the individuals also matter.

Disinvestment

Disinvestment means selling of government securities of Public Sector Undertakings (PSUs) to other PSUs or private sectors or banks. This process has not been fully implemented.